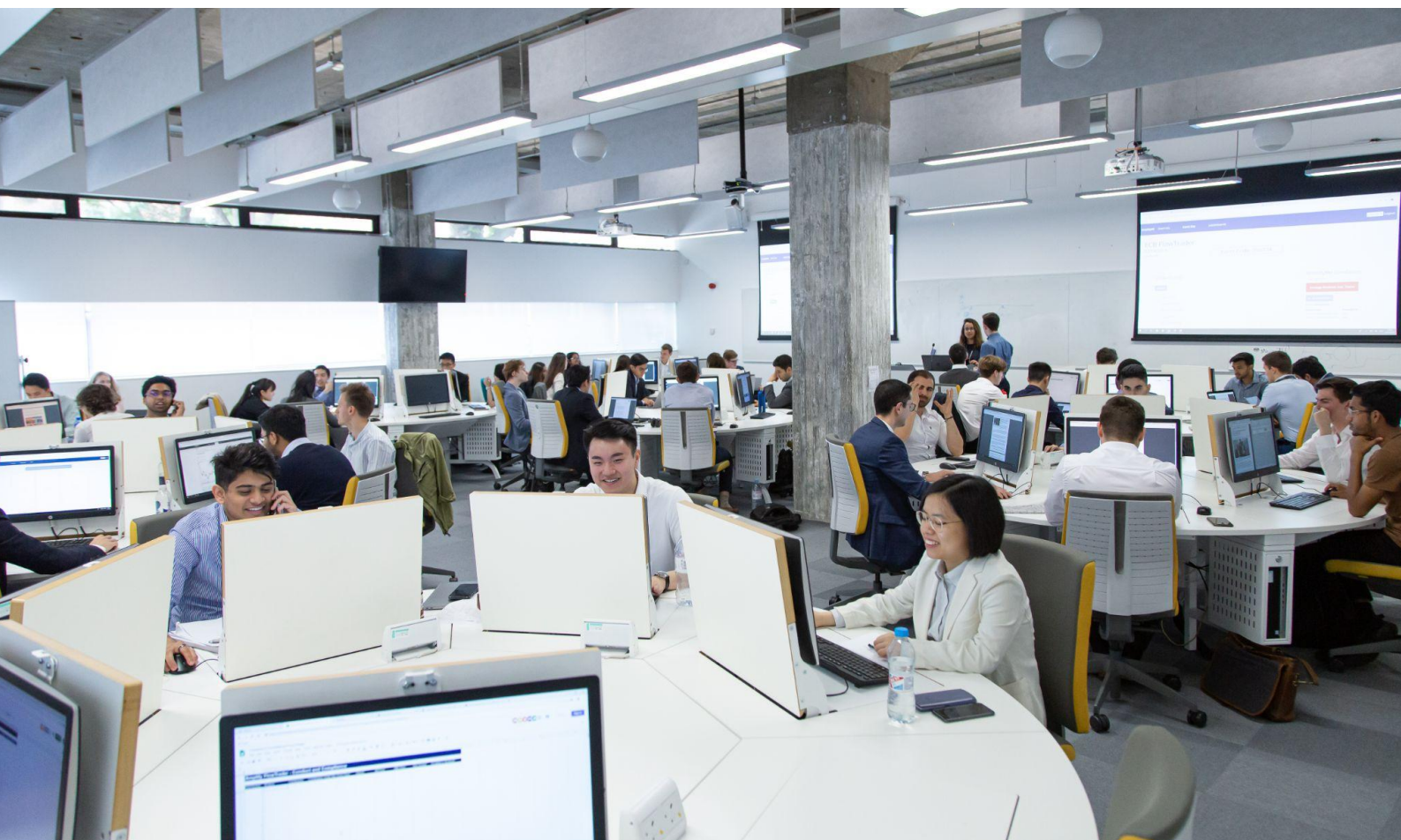


FINANCE ACCELERATOR

AI BOOM & MACRO RESEARCH



AMPLIFY ME
EXPERIENCE FINANCE

INVESTMENT BANK: SELL-SIDE OBJECTIVES

- **Client Relationships:** Communicate regularly with your clients in order to form and maintain strong relationships.
- **Maximise Commission:** Facilitate as many client trades as you can.
- **Competitive Prices:** Provide tight bid/offer spreads for clients when they ask for quotes. Bad/wide spreads will mean clients will be unlikely to trade with you.
- **Manage Risk:** When a client accepts a trade with you, the bank will automatically be put into the opposite position. Trade out of these positions of risk by using the exchange.
- **Profit and Loss:** Profit is risk for an Investment Bank. Ensure that your PnL does not exceed your final amount of commission.
- **Manage Market Impact:** When trading out of risk positions on the exchange, break positions up into smaller execution sizes to avoid PnL losses through market impact

ASSET MANAGEMENT: BUY-SIDE OBJECTIVES

- **Investment Strategy:** Long Only, \$20 million capital.
- **Client Profile:** 40 yrs old founder/CEO of a successful tech company. Moderately high risk appetite.
- **Investment Time Horizon:** 30 minutes simulation time will be equivalent to investing through a fictitious 3-month time period.
- **Investment Objective:** To generate as high a return on investment as possible whilst beating the underlying benchmark index. The benchmark is an equally weighted index comprising the 5 products that are available to trade in the simulation.
- **Investment Constraints:** The aim is to invest all of your client's \$20million cash across the 5 tradable products. A diversified portfolio spreads the risk. However, do not break your max stop loss limit of -\$500,000 in any one trade. Also, remember that you must have a minimum of 10% cash invested in any one asset, and a maximum of 30% cash allocation.
- **Execution:** Avoid large market impact on the exchange. Achieve more competitive prices by trading through the investment banks.

MACRO OVERVIEW

Following the release of ChatGPT, many companies have started to integrate the use of AI tools into their products and services. Although most companies have benefited from AI integration, some companies are facing scrutiny with regards to regulations. In the following simulation, you will be trading the 5 assets below, some of which have benefited from the recent AI Boom and are looking to further integrate stronger AI tools into their products and services.

On the Macro front, the US economy is in recovery, with interest rates slashed in the previous 5 meetings, investors grow more confident about the health of the US economy. The UK economy has also benefitted from recent rate cuts and business confidence has grown over the last 2 quarters. Keep an eye out for AI related news, earning reports & economic data.

Tesla (TSLA)

Although Tesla has managed to integrate AI tools into their vehicles, the recent actions by CEO Elon Musk have damaged confidence in the company. Particularly, Musk's attempt to buy Twitter has raised questions about whether or not Tesla will fall behind on AI integrations compared to their competitors. However, rumours suggest that the company is getting ready to announce a big investment on Self-Driving AI. Look out for earnings reports and AI related news.



Netflix (NFLX)

Netflix has suffered from raising their subscription prices early last year. In their recent annual report, the company has mentioned that subscribers were leaving Netflix at a fast pace. Analysts expect that the impact of losing subscribers will carry on to the new investment year with Netflix set to report earnings later in the session. Analysts also expect Netflix to make an announcement about AI-Assisted script analysis. The reaction to this from the public is expected to be mixed.



Duolingo (DUOL)

Duolingo has benefitted from integrating AI tools into its language learning app. User activity has spiked and its continuing to grow. The CFO recently announced that there are more tools to be added and they are expecting to change the way in which languages are learned. Although, yearly performance has been good, analysts are aware of some of the regulations on language certification standards that may have an impact on Duolingo going forward.



Tesco (TSCO)

Tesco had a strong financial year posting profits. However, reports have suggested that staff are to stage walkouts over disputes on wages. Furthermore, Tesco has faced pressure from the public on lowering their prices amidst the ongoing cost-of-living crisis. However the CFO recently announced that there were no plans to lower any prices on essential goods. Keep an eye out on wage related news.



AstraZeneca (AZN)

AstraZeneca had a lackluster year, although they have posted profits in the first half of the year, the second half of the year saw share prices tumble as the CFO announced that there were no plans to integrate AI into their business practices. However, analysts are suggesting that AstraZeneca may be looking to form partnerships with AI firms to strengthen their early-stage pipelines.

